



Income Tax Department

Ministry of Finance, Government of India

³⁶[Application of benefits under sections 212 to 216.

217. (1) Where a non-resident Indian in any tax year,—

- (a) becomes assessable as a resident in India in respect of total income in a subsequent year; and
- (b) furnishes a declaration in writing to the Assessing Officer along with his return of income under section 263 for the tax year for which he is so assessable, to the effect that provisions of sections 212 to 216 shall continue to apply to him in relation to the investment income derived from any foreign exchange asset referred to in section 212(e) other than shares in an Indian company, then the provisions of sections 212 to 216 shall continue to apply in relation to such income for that tax year and every subsequent tax year until the transfer or conversion (otherwise than by transfer) of such assets into money.

(2) A non-resident Indian may choose not to be governed by the provisions of sections 212 to 216 for any tax year by declaring it in his return of income under section 263 for such tax year, and if he does so,—

- (a) the provisions of sections 212 to 216 shall not apply to him for that tax year; and
- (b) his total income for that tax year shall be computed and charged to tax according to the other provisions of this Act.

36. Sections 217 and 218 sub. by Act No. 4 of 2026, w.e.f. **1-4-2026**. Prior to their substitution, sections 217 and 218 read as under :

"217. *Benefit under Chapter to be available in certain cases even after assessee becomes resident.*—Where a non-resident Indian in any tax year,—

- (a) becomes assessable as a resident in India in respect of total income in a subsequent year; and
- (b) furnishes a declaration in writing to the Assessing Officer along with his return of income under section 263 for the tax year for which he is so assessable, to the effect that provisions of sections 212 to 218 shall continue to apply to him in relation to the investment income derived from any foreign exchange asset referred to in section 212(e) other than shares in an Indian company,

then the provisions of sections 212 to 218 shall continue to apply in relation to such income for that tax year and every subsequent tax year until the transfer or conversion (otherwise than by transfer) of such assets into money.

218. *Chapter not to apply if the assessee so chooses.*—A non-resident Indian may choose not to be governed by the provisions of sections 212 to 217 for any tax year by declaring it in his return of income under section 263 for such tax year, and if he does so,—

- (a) the provisions of sections 212 to 217 shall not apply to him for that tax year, and
- (b) his total income for that tax year shall be computed and charged to tax according to the other provisions of this Act."

